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Infrastructure pipeline planning and public policy uncertainty

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Some definitions

Infrastructure and construction are complementary. The ‘infrastructure sector’ is often confused with the ‘construction sector’. While different, they are complementary and interdependent.

The **infrastructure sector** includes many actors, including multi-national organisations, peak bodies, governments, the public service and individuals. These groups perform a range of duties throughout each asset’s life, such as early planning, design and engineering, professional services for reviews and assurances, construction, commissioning and operations and maintenance.

The **construction sector** is a dominant component of the infrastructure sector, along with other industries such as commercial, residential and industrial (for example, mining, oil and gas and pharmaceuticals). Construction costs make up a relatively small component of all outgoing costs incurred over the life of some infrastructure (Infrastructure Australia, 2021).

The infrastructure sector can be categorised by **ownership and intent**:

Public Infrastructure is owned or operated by the government for the benefit of the general public. It is usually funded through taxation, government borrowing, or public investment and is designed to provide essential services rather than maximise profit. Governments often retain ownership of infrastructure that is considered essential for national wellbeing, economic stability, or natural monopoly services such as water and electricity transmission.

Private infrastructure is owned, financed, or operated by private companies or investors. These projects are generally developed to earn commercial returns while delivering infrastructure services to users.

Many modern infrastructure projects combine public and private involvement through **Public–Private Partnerships** (PPPs). In these arrangements, the government may fund or regulate the project, while private firms design, build, finance, or operate the infrastructure.

1 Summary and recommendations

1.1 Summary

Infrastructure development and investment is always political

The state has three different but overlapping roles in infrastructure development: as **infrastructure owner, regulator, and enabler**. Government policies for these roles introduce uncertainty in infrastructure planning. Each role has political dimensions, requiring state intervention to align and coordinate citizens’ and firms’ activities. These are redistributive or coercive and so are always contested. As owner, the government redistributes limited resources through the annual Budget to achieve contested policy outcomes across government. As regulator it modifies restrictions on rights to carry out activities to locate activities and to address negative externalities of construction, for example, through planning, environmental and labour controls. As enabler, government can modify construction firms’ capability and capacity, for example through fiscal policies that modify availability of capital, but also availability of the workforce, through support for skilled immigrants and vocational training. The three roles also can be in conflict with each other, introducing policy tensions and further uncertainty as governments make trade-offs between the different policy objectives and goals.

Its role as owner is particularly significant: government owns some 70% of infrastructure by value in New Zealand. Megaprojects represent a significant allocation of budget, and their value, construction, and financing can all be contested.

Government has different tools for undertaking infrastructure interventions in its roles as owner, regulator and enabler. **Legislation** creates an envelope within which governments can intervene and a framework for enabling intervention. Typically, these take several years to be enacted and usually remain on the statute books for decades, with exceptions. **Regulations** – second order legislation – provide delegated authority to executive power and address specific technical standards and specific processes. They can be short-term, lasting the length of an electoral cycle but often longer. **Policies and strategies** take two forms. Some are required by legislation and typically cover an electoral cycle. Others are government statements of intent, intended to direct and coordinate executive decisions, including funding through the Budget and departmental priorities. They are important given that different policy levers are spread across legislation and government agencies responsible for their implementation. Many do not survive an election.

Long term political decision-making is shaped at different scales

Political philosophy determining the appropriate locus and scope of government and its interventions for and ownership of infrastructure development changes at a generational scale. Post-second world war Keynesian economics consensus saw a high level of government infrastructure ownership and construction. The 1980s Washington Consensus ‘market-state’ paradigm that continues until today sees reduced ownership and enhanced private sector ownership and construction. Public-private-partnerships are the latest iteration. However, we may be at a pivot point, with some disillusionment internationally with the market-led model. There is increased interest in increased state intervention and mobilisation of state capital (for example, in superannuation funds) to move to a ‘market state’. This would make more finance available for infrastructure development. We are also seeing remunicipalisation, particularly at the local government level, with a move back to government infrastructure ownership and operation.

Infrastructure investment is impacted at the decadal (or sometimes less) by **infrequent major natural disasters**. Events such as the 2011 Christchurch and 2016 Kaikoura earthquakes, or the 2023 Auckland floods require billions of dollars to repair or replace destroyed infrastructure. Government as both infrastructure owner and enabler is committed to redirect significant financial resources from previously identified investment project priorities to fund this work.

Electoral cycles shape short-term decision-making

There is a substantial academic literature on the impacts of electoral cycles on infrastructure decision-making. Much of the focus has been on ‘political budget cycles’, or ‘lolly-scrambles’ where the government spends up large on infrastructure and other vote winners immediately before an election to win votes. This literature suggests pre-election boost to infrastructure investment and not necessarily with the benefit of a robust cost-benefit analysis. New projects are preferred over maintenance.

Another body of research sees the major cause of political uncertainty stemming from the temporal mismatch between time to policy payback and electoral cycles. Here, politicians heavily discount time, promote smaller-scale projects or defer costs. This results in underinvestment of infrastructure. Solutions advanced seek to depoliticise policy decision-making by creating independent institutions such as infrastructure commissions, establishing multi-decade capital frameworks and statutory pipelines; and maintaining professionalised bureaucracies insulated from electoral turnover. These carry their own risks, including a loss of

public accountability for decisions. Additionally, governments can legislate to remove or modify these initiatives.

Electoral cycle uncertainty is partially mitigated in New Zealand

It is suggested that electoral cycle induced infrastructure uncertainty is mitigated to a certain extent in New Zealand. In the first instance, **the major political parties both consistently support infrastructure investment and development**. Most government-funded projects already under construction continue to be funded by the incoming government, although the strategies themselves are voided.¹ Similarly, both parties have sought to streamline the legislative process to enable infrastructure to be built more quickly.

Additionally, as with other countries, **New Zealand has a mature infrastructure portfolio** following substantial investment over the last 35 years. While some large projects will continue, the emphasis will increasingly come onto maintenance, upgrading and renewal. Upgrading potable and wastewater infrastructure is going to be important. Funding is likely to be politically sensitive, as user charges are applied more widely.

Mega-projects still at the planning stage are prone to cancellation and their construction can wait possibly decades to go ahead. However, most projects are small-scale with less political salience and environmental and social impacts and so likely advance without hindrance. Further, the actual construction phase for most projects is less than three years and so fall within election cycles. Local government depreciation is around 60-70% of asset value, suggesting a core investment baseload with the remainder prone to deferment as councils seek to keep rates down.

Both central and local governments are legally required under the Public Finance Act and Local Government Act to prepare **three-yearly investment plans and 10-yearly long term plans, providing a level of transparency and certainty**. The New Zealand Infrastructure Commission also provides a degree of transparency and independent information for government and the public. However, to date it's pipeline only covers the public-sector and does not distinguish between desired and committed projects.

Partially depoliticising infrastructure policy may be possible

There have been various calls for cross-political party accords for establishing long-term politically stable infrastructure plans and strategies. Such depoliticised accords have been made where there is strong public support for a particular goal and the policy field is technical. New Zealand examples include the overarching 'nuclear-free' policy, but also Reserve Bank autonomy to manage inflation, accident-compensation, and the New Zealand National Superannuation Fund. The Infrastructure Commission's 2026 Strategy is an attempt to initiate a depoliticisation of infrastructure policy. **The government's response, together with, the responses by the Labour and Greens opposition parties suggest support for depoliticised infrastructure strategy**. However, even existing strategies are periodically contested in detail: complete depoliticisation is never possible.

¹ Additionally, New Zealand First has a strong regional development position and has advanced infrastructure development through regional growth funds as part of both National and Labour led governments.

1.2 Recommendations

Long-term planning and certainty

1. **Infrastructure Commission** convene an all-political party workshop to develop a cross-party agreed and supported infrastructure strategy for the next 20 years;
2. **Infrastructure Commission** explore the value of encouraging hypothecated funding to ensure full financing of infrastructure maintenance and renewal.

Adoption of infrastructure pipeline

Strengthening the evidence base for the construction sector by improving visibility of projects, firms, and workforce dynamics by collecting data for the CanConstructNZ infrastructure pipeline model.

2. **Infrastructure Commission:**
 - a. Adopts and maintains the CanConstructNZ infrastructure pipeline model;
 - b. Publishes data/model results annually;
 - c. Provides annual sector pipeline briefings that provide industry with a clear macro-level view of expected procurements and act as a forum to provide feedback on pipeline risk; and
 - d. Ensures future infrastructure investment and project delivery commitments are regularly reviewed and considered against the jurisdiction-wide, cross-sectoral infrastructure project pipeline and industry capacity forecasts

Data provision

3. **NZ Infrastructure Commission** maintains a project register and anonymised companies register.
4. **StatsNZ and NZ Infrastructure Commission** collaborate to:
 - a. collect private and public sector infrastructure pipeline data; and
 - b. maintain the infrastructure pipeline database;
5. **Central government departments** provide infrastructure plans as set out in their 3-5 year Statement of Intent under the Crown Entities Act 2004;
6. **Local government** provide infrastructure plans as set out in their 3 year and 10 Long-term plans under the Local Government Act 2002;
7. **Government and local government** provide annual data to StatsNZ equivalent to Stats NZ datasets on building consent and “value of building work done,” capturing the value of civil and infrastructure work put in place.

2 Introduction

Infrastructure construction engenders political controversy. Megaprojects attract the most attention: almost inevitably they come in late, under specification and over budget, taxpayers footing the bill for overruns (Flyvbjerg et al., 2002; Flyvbjerg, 2007). The Transmission Gully Project is not atypical. The 27 kilometre highway opened in 2022 shaves off an average of 11 minutes for the trip between Wellington CBD and the Kapiti Coast. Budgeted at \$850m, it came in at nearly \$1.25 billion, a nearly 40% overrun. The lifetime cost of financing, maintaining, and operating the road through the public-private partnership is significantly higher again: Transport Minister Chris Bishop stated the actual total cost of the project to the Crown is closer to \$2.5 billion (Manch, 2025). At the same time infrastructure construction generates wealth for some at the expense of others. It has been calculated that Transmission Gully also locked in place \$7.8 billion of tax-free capital gains for landowners in the Kapiti Coast and Horowhenua district council areas in the five years of its construction (Hickey, 2022). The project was also beleaguered with resource consent issues including failure to comply with conditions during the highway's construction with sediment discharges into Porirua Harbour ((Strang, 2022).

Commitment to its construction long remained uncertain. A road through Transmission Gully had been proposed as far back as 1919. The project was first seriously considered in the 1980s though plans had been developed at least a decade earlier.² A designation was approved in 1997 and funding for the first part announced in 2005. The project was then fast-tracked by the government in 2011 and a public-private partnership signed in 2014 and construction beginning soon after, the highway completed in 2022, two years later than planned (RNZ, 2022).

The project was politically controversial from the start. Its cost-benefit ratio was never good and so the project was continually deferred. However, although the Greens Party opposed it from the start, the major political parties did not: the project's consenting began under a Labour government, construction started under a National government and completed under another Labour government. Rather, Labour opposed the PPP model to build it largely because of the extra costs PPP generated (RNZ, 2013).

Transmission Gully is unusual; nearly all infrastructure construction projects are small scale (New Zealand Infrastructure Commission, 2026). However, it demonstrates the different roles that government in infrastructure development – as owner, regulator and enabler. It also underscores the inherently political elements of infrastructure: government funding, regulatory interference (the fast-tracking of the resource consent applications instead of the standard procedures set out in the Resource Management Act) that did not account for the extent of environmental degradation caused in construction – negative externalities, or the private benefits - positive externalities – that the highway generated for some.

Constructing infrastructure is universally advanced in the literature as enhancing economic growth and improving social welfare for citizens. However, its political dimension introduces uncertainty into the infrastructure pipeline. In particular, project and political decision-making cycles are seen to be mismatched with a consequent risk of suboptimal funding or project

² The author, then working as an Investigating Officer at the Commission for the Environment, reported on the environmental impacts of this project in 1986.

realignment or cancellation.³ The political economy of voting, too, suggests that political support for projects may be influenced by vote-maximizing decisions with different parties seeking different mandates. The net effect is that the infrastructure pipeline may be impacted by electoral cycles.

CanConstructNZ is a project led by School of Built Environment, Massey University, to develop a quantitative model for optimising New Zealand's infrastructure pipeline. The Project recognises that infrastructure planning and construction is significantly affected by government policies that are seen to introduce uncertainties and reduce effectiveness of long-term planning. Accordingly, it requires that this political element needs to be incorporated into the model. It also recognises that government needs to resource and support the model if it is to become a useful tool. This Background Paper identifies important political policy variables that need to be addressed when developing the model and sets out recommendations for government to promote the pipeline model's use.

This paper first describes the general political context that infrastructure development operates within and the political challenges it faces. It then uses this framework to situate the New Zealand infrastructure development and political influence. Suggestions are made for how policy considerations can be incorporated in the pipeline model. In the second part the paper explores ways for depoliticising infrastructure development and makes recommendations for to implement them.

3 The state's role in infrastructure governance

Government is infrastructure **regulator**, **enabler** and **owner**. These overlapping roles have very different policy purposes and goals. They play out at different scales, shaping a macro-environment within which infrastructure is planned, built and maintained, as well as shaping individual projects. Government should therefore not be seen as a monolith when informing pipeline modelling. These roles each have their own political drivers, making them potentially contentious and ultimately determined through political processes.

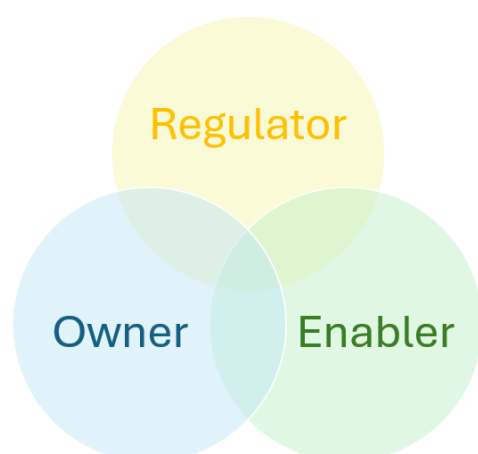


Figure 1: Government's infrastructure roles

³ This mismatch was also identified in interviews of sector leaders undertaken by the CanConstructNZ project, with interviewees proposing longer electoral cycles as a way of avoiding the pause in construction sector decision-making in the months each side of national elections.

3.1 Government's infrastructure roles

Regulator

Government shapes the regulatory environment, creating a decision-envelope within which the infrastructure is constructed and maintained. Regulation is essentially coercive: limiting firms and organisations' activities in some way and so requires a legislative mandate. (See Appendix 1 for an explanation of regulation.)

Regulation operates at two levels: statute law (primary law), and regulations (second-order legislation) made under delegation by delegated ministers or officials under specific legislation.

For example, as a regulator, government determines under the Resource Management Act 1991 where infrastructure can be built and its environmental impacts managed. It also frames acceptable infrastructure design and under the Building Act, and the welfare and safety of the workers under the Health and Safety at Work Act. Regulation is politically contentious: developers see regulation as imposing costs on their projects as they obtain and then comply with consents. Civil society typically regards the regulations as inadequate to force developers to internalise negative externalities generated by their developments.

Owner

Ownership is typically undertaken to address market failure where the private sector is not prepared to invest in infrastructure or at a level considered necessary to meet social needs. As owner the government funds infrastructure construction and owns the completed assets.

Its ownership ambitions are limited by budgetary constraints imposed by the government's fiscal policies and in response to competing demands on government funding. Financial leverage can be achieved through public-private partnerships that enable governments to put costs off balance-sheet.

Government's infrastructure funding is typically provided in the annual Budget (legislation). It can also set out its intentions in government strategies and policy statements for particular sectors. These are essentially statements of intent intended to prioritise, align and coordinate government actions and funding to realise infrastructure construction goals. Some strategies are required by legislation. The most important are the Departmental Statements of Strategic Intentions under the Public Finance Act. Other examples are the 10 year-plans under the Land Transport Act. Territorial and regional councils also required to develop Long Term Plans, with three-yearly reviews and implemented under their annual plans under the Local Government Act.

Historically, these strategies do not outlive the governments that adopted them. Indeed, various strategies and plans required under legislation specifically give three-year horizons or reviews, clear indication of their alignment with triennial election cycles for both central and local government.

The extent to which government should own infrastructure is a core policy debate that shapes national economies (see below). Ownership decisions determine what infrastructure is built where, and the speed at which it is built, impacting on the infrastructure pipeline.

Enabler

Government plays an enabling or facilitating role in advancing infrastructure development. At the national scale government can enable and encourage private sector infrastructure development by shaping macro-economic conditions using fiscal policy to change availability and cost of finance. Government also affects the infrastructure pipeline sector capability and capacity through its ancillary policies. For example, immigration policies can impact short-term access to skilled labour. Education policies and funding determine the longer-term supply of skilled labour. These policies can be driven with and conflict with other political goals: immigration policy for example, is political

3.2 Overlaps Between Government Roles

Government's different infrastructure roles overlap. These overlaps can impact on infrastructure policy-making as each role may have different objectives and goals that could either conflict with or enhance policy goals of the others. Policy-proposals can therefore face trade-offs as one set of policies is prioritised over others, depending on wider government goals. These trade-offs can create opportunities for advancing infrastructure outcomes but they can also affect uncertainty, especially where a new government has a different set of priorities to the previous one. Second-order (unintended) consequences may also result where linkages between policies are not fully understood or recognised.

Regulator and Owner

When government owns infrastructure while also regulating the sector, it can align long-term public goals with operational delivery, for example, roading, utilities. In general, government can ensure infrastructure serves public needs rather than only profit and that infrastructure is built even when not commercially attractive.

This overlap however can create significant tensions. A government may favour its own infrastructure entities over private competitors. It may achieve this through preferential funding, lenient regulation of state-owned enterprises, and by erecting barriers to market entry.

Owner and Enabler

Governments often use publicly owned assets to stimulate wider economic development to advance other policy goals, such as regional development. The national optic-fibre broadband network and national road network upgrades are examples. This public investment in this infrastructure can attract economic growth into underserved regions. At the same time, this incentivises rent-seeking behaviour.

Regulator and Enabler

Governments can change the regulatory framework to encourage innovation and investment, for example fast-track consenting processes for major projects. Clear rules can create investor confidence. Regulation can also guide infrastructure toward national priorities such as sustainability or resilience.

However, governments may weaken regulatory standards to accelerate development, for example, relaxing environmental protection standards, reducing consultation requirements and fast-tracking approvals without adequate scrutiny. These risk environmental damage from infrastructure construction, community opposition to and loss of legitimacy for projects and poor-quality infrastructure outcomes.

4 Politics, policy and uncertainty

In this section the political nature of infrastructure development is explored. It firstly argues that public infrastructure is always political. It then outlines the different roles that government plays in infrastructure development to provide insights how the political is inserted into infrastructure. It then shows how the political nature of infrastructure introduces uncertainty in pipeline planning.

Politics has been defined as ‘who gets what, when’, (Lasswell, 1935) with the corollary of ‘who misses out’. Accepting this definition, all infrastructure projects decisions are political. Infrastructure projects have allocation and distribution consequences. They are expensive and place-based with direct (positive and negative) impacts or externalities on the localities where they are constructed, as well as having wider impacts. Accordingly, infrastructure proposals require decision-makers to make trade-offs between different proposals and other wider policy outputs. Further, benefits are not realised immediately and benefit some actors over others so that those with high (economic or political economic) rates of return are favoured. As well, both the infrastructure outputs and outcomes and the choice of outcome delivery can be contested. Given the wider public-good (especially free-rider) characteristics of infrastructure, the private sector will either not provide the infrastructure itself or at the scale that is needed. Coercive power is possibly required to extinguish some property-rights of landowner or stakeholder ‘holdouts’ where projects would require private land or create negative externalities.

Infrastructure governance requires decisions about competing priorities under conditions of limited and often contested information about their consequences. These trade-offs occur across three dimensions: temporal (such as immediate costs versus future benefits), regional (such as the geographic distribution of investment), and sectoral (such as choices between infrastructure subsectors or between infrastructure and other policy priorities). (Wegrich & Hammerschmid, 2017). Accordingly, political priorities feature as the dominant criteria in public infrastructure planning and decision-making (Figures 2 & 3).

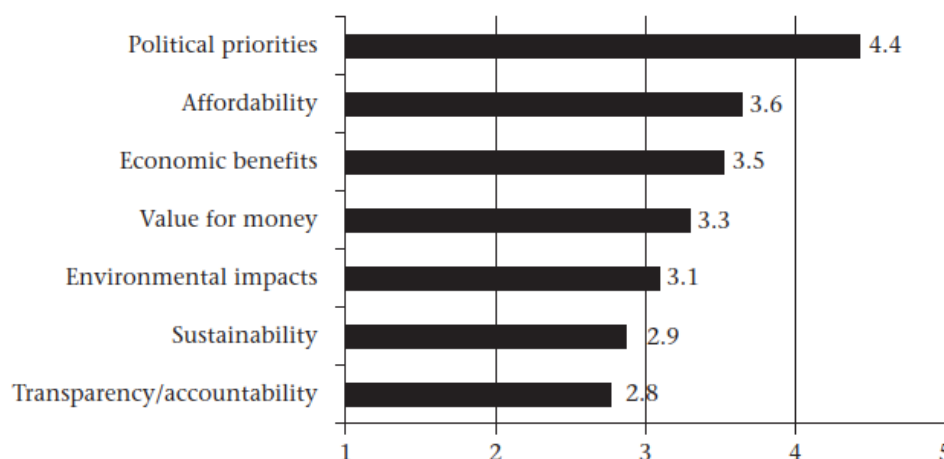


Figure 2: Most relevant criteria in public infrastructure planning and decision making according to a global expert survey [1 = to a small extent; 5 = to a large extent] (Source: Wegrich et al., 2017)

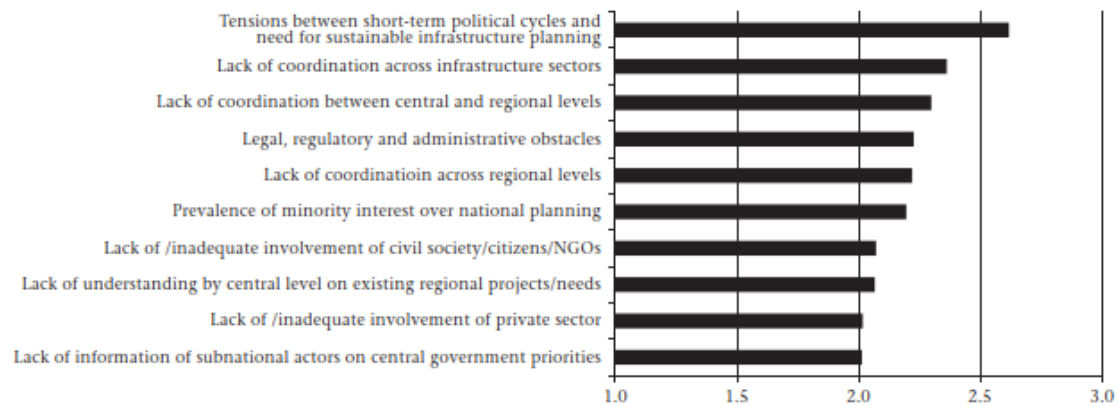


Figure 3: Main coordination challenges with regard to strategic planning of public infrastructure according to Global expert survey [1 = not a challenge, 3 = major challenge] (Source: Wegrich et al., 2017)

5 Policy and uncertainty

This section outlines how the broader policy decision context changes with implications for on infrastructure development certainty. These changes operate at different time scales.

5.1 Macro-level decision-context

At the macro-level, generational-scale ideological change frames the role of government ownership, resulting in government infrastructure portfolios changing over time (Helm & Tindall, 2009) (see Box). New Zealand's major infrastructure development can be understood in several **distinct historical phases**, each tied to economic growth, settlement, and technological change. How they are provided also can be seen to follow broad philosophical trends regarding ownership of infrastructure. Within the last 80 years (post-Second World War) we can see a sequence of infrastructure decisions that firstly relied on state ownership and delivery, to privatisation and private delivery. Ownership, planning, funding and implementation were initially by the state (primarily the Ministry of Works and Development, and the Ministry of Energy in New Zealand).

This high-state intervention paradigm was replaced by a 'market state' regime beginning in the 1980s that has shaped the global economy and economic policy since. Many western countries privatised state infrastructure in the 1980s and 1990s under the logic of New Public Management theory logic but also for other political purposes. New Zealand is still embracing private-sector infrastructure ownership and provision, for example public-private-partnerships for roading. We are also likely to see increased private sector involvement in local government water utility provision and management under the government's 'Local Water Done Well' initiative that seeks new ways to finance local government utility provision.

But we appear now to be at a new pivot point. There is the beginning of a turn from the 'Washington consensus' to what has variably been called state capitalism, geoeconomic or fragmented globalisation era, or strategic protectionism. One consequence of state capitalism is that pools of state capital (e.g. ACC, National Superannuation Fund) are mobilised to help alleviate financial bottlenecks constraining infrastructure development (Skilling, 2026). The Canadian Investment Bank provides an example. After some four decades of privatization, remunicipalisation – the return of services and utilities to state ownership and management – is

Box: Major New Zealand infrastructure paradigms

Post-War State Development (1945–1980s)

After World War II, New Zealand invested heavily in infrastructure to support population growth and industrialisation. Government agencies played a major role in planning and building these projects.

Key projects

- Expansion of the state highway system
- Major hydroelectric schemes, including Benmore Dam and the Waitaki system
- Growth of airports and civil aviation
- Urban infrastructure such as water systems and public housing

Energy Mega-Projects and Economic Transition (1970s–1980s)

Energy security concerns led to large state-led projects under the Think Big strategy. Many of these projects were controversial due to their cost and environmental impacts.

Key examples

- Clyde Dam hydroelectric project
- Marsden Point Oil Refinery expansion
- Gas and petrochemical infrastructure

Liberalisation and Private Investment (1980s–2000s)

Economic reforms reduced direct state construction and encouraged private-sector participation.

Changes

- Corporatisation and privatisation of infrastructure assets
- Development of telecommunications and digital networks
- Expansion of container ports and logistics

Modern Infrastructure and Resilience (2000s–Present)

Recent infrastructure focuses on population growth, digital connectivity, and climate resilience. Infrastructure policy now emphasises sustainability, resilience, and regional connectivity.

Key areas

- Ultra-fast broadband rollout
- Major transport upgrades in cities
- Renewable energy expansion
- Reconstruction after catastrophic natural disasters, e.g. 2011 Christchurch and 2016 Kaikoura earthquakes, Auckland 2023 floods

State capitalism (Emerging)

Recognition of greater need for government involvement in provision of infrastructure to provide economic growth and resilience in a post-Washington consensus world, as well as greater recognition of limitations of private-sector delivery.

Emerging themes

- Access to state investment funds (e.g. state owned superannuation schemes) to fund infrastructure construction
- Remunicipalisation of infrastructure and services

States are sometimes forced to remunicipalise when privatised entities have been asset-stripped and balance books (e.g. Welsh Water or New Zealand Rail) and have gone bankrupt (Helm & Tindall, 2009). Paris city's remunicipalisation of its water 2010, which saw the two largest private water companies in the world – Suez and Veolia – lose contracts in their own backyard generated considerable popular attention. How soon New Zealand follows these trends remains an open question.

5.2 Meso-timescale for mega-projects

A meso-timescale measured in decades applies to mega- and large-scale infrastructure projects. A megaproject is a massive, highly complex, and expensive venture, typically costing upwards of \$1 billion. Rather than just being magnified versions of normal projects, they involve extensive timelines (often over a decade), numerous stakeholders, and profound impacts on society, the environment, and the economy (Bakke & Johansen, 2024). These are highly complex undertakings requiring significant resources and their planning and construction can span decades and multiple election cycles.

Megaprojects are invariably controversial. They are transformational and frequently need to acquire legitimacy and support to become viable and locally embedded as they shape the economics, society, and the environment. They are also about competing visions of urban development, transport policy, growth, and public spending priorities. Megaprojects are almost invariably state-funded or backed and their high cost represents a significant opportunity-cost for governments seeking to achieve a range of other social and economic policy goals. They almost invariably come in 'Over budget, Over Time and Over Again' (Flyvbjerg, 2007, 2009) and in many cases do not measure up under cost-benefit analysis.

However, most megaprojects continue even when they are performing poorly, because so much money and political capital has already been committed. Poorly performing projects are far more likely to continue and overrun than to be cancelled. Once construction starts, political, contractual, and financial pressures strongly discourage termination. Cancellation is concentrated in the early planning stages, before major construction begins.

Although few in number, mega-project generate significant uncertainty for infrastructure pipeline planning. Their sheer size dominates the construction sector, absorbing significant capital, labour and materiel that could otherwise be deployed constructing many smaller ventures. Although stable once construction begins, their proposal and planning stages are vulnerable to political interference with the risk of cancellation, resizing or reconceptualising the project.

5.3 Short-term - electoral cycles and infrastructure planning

Most attention focuses on the electoral cycle scale. Two themes dominate: the impacts of political budget cycles, and policy termism or myopia.

A significant literature explores whether governments boost their fiscal expenditure before elections to increase their electoral chances, essentially buying votes. The evidence is some ambiguous. Research by Klomp and De Haan (2013) found that in most of the 65 democratic countries they studied fiscal policy between 1975 and 2005 was hardly affected by elections. Nevertheless, they found a significant political budget cycle effect for several countries, including New Zealand. The study period spanned New Zealand's economic neoliberal turn and it may be that more recent fiscal management controls have mediated this pattern. New

Zealand now has a transparent, rule-based public finance system, which severely limits a government's ability to hide deficits or make arbitrary spending surges. The Public Finance Act mandates strict accounting standards, long-term fiscal projections, and full transparency, making it difficult for governments to execute hidden, opportunistic pre-election spending without public and Treasury scrutiny. Successive governments have also respected the Fiscal Responsibility Rule, adhering to fiscal parameters and budget responsibility rules. These rules impose strict caps on operating and capital allowances, curbing short-term political manipulation.

However, there is long-standing criticism that regional development infrastructure initiatives are primarily motivated for vote-seeking (McNeill, 2019). As well, both the major political parties as well as New Zealand First have strongly promoted infrastructure build in their election campaigns (Appendix 2).

Short-termism or policy myopia, the asymmetry between long-term government policy goals and short-term election cycles, is well-recognised (Boston, 2016; Jacobs, 2016).⁴ The concern is that politicians have a higher time-discount rate for long-term policies than short-term ones and will therefore favour those policies that deliver short-term benefits even if they are more expensive in the long-term than those with long-term benefits and short-term costs.

A consequence is that policymakers are incentivised to under-invest in infrastructure capital generally, and in infrastructure maintenance particularly.

5.4 Depoliticising infrastructure

The challenge is evident. Internationally, there is no shortage of exhortation for states to strengthen infrastructure governance and strategic planning (see Box) (OECD, 2007). Attaining these objectives is another matter. It is widely agreed that there is therefore a need to depoliticise infrastructure decision-making. Although political decision-making is important for ensuring public accountability, Sbragia (2000) makes the case that political involvement is unnecessary where policy goals are broadly agreed and the policy topic is technical and complex. The establishment of an independent Reserve Bank is an example.

Jacobs (2016) calls for independent institutions (infrastructure commissions, fiscal councils); multi-decade capital frameworks and statutory pipelines, and professionalized bureaucracies insulated from electoral turnover. In New Zealand, InfraCom calls for multi-year

Box: OECD principal policy recommendations

3. Strengthening governance and strategic planning

11. Support the development of long-term, co-ordinated approaches to infrastructure development.
12. Reduce the vulnerability of long-term infrastructure planning and implementation to short-term thinking and priority setting.
13. Ensure the involvement of a broader range of stakeholders in the process of needs assessment, prioritisation, design, planning and delivery of infrastructures.
14. Step up efforts to reduce the length and complexity of the planning-to-implementation process.

(OECD, 2007: 28)

⁴ Equb (2026, p. 11) reports that he found from his interviews with sector leaders that 'most constructors do not trust [government] announcements of forward work until the projects are tendered for procurement.'

budgeting, predictable funding signals, and cross-party consensus. However, it is only able to recommend rather than direct long-term planning.

The problem remains that governments are able to change policies at will, legislating change if required. Accordingly, This policy framework requires a depoliticising of national infrastructure policy to achieve broad agreement and support for policy direction by the major political parties. Such depoliticisation is most likely to occur where there is broad agreement within society on policy outcomes and where the policy arena is technical. In New Zealand examples include inflation management by the Reserve Bank, the New Zealand Superannuation Fund, Pharmac, and the Accident Compensation Commission. Yet, even where there is a broad political consensus, political parties have sought to open up parts of these independent bodies' policies for political advantage.

The main challenge in trying to achieve depoliticisation for infrastructure planning is to develop political consensus. The previous Labour government had developed a high-level Accord with the construction sector in 2019 (New Zealand Government, 2019) and action plan (New Zealand Government, 2023). However, the incoming National government abandoned it. Most recently, the present government has sought bipartisanship in infrastructure planning (Bishop, 2026). Its 2026 statutory response to the InfraCom Plan (New Zealand Government, 2026) is remarkable in that both Labour and the Greens responded to an invitation to provide a preface to the response. The government supported most of the 10 priorities in full and two in principle; Labour supported the priorities in a general sense, while the Greens supported all 10 in full.

Collaborative governance shows some promise for depoliticising policymaking. Considerable effort has been made in the environmental policy arena, particularly in the Nordic countries to develop inclusive collaborative governance (Ansell & Gash, 2008; Høgl et al., 2012). This approach was attempted in New Zealand by the Key National government with its collaborative water governance model under the RMA. However, its implementation did not follow all the fundamental principles of collaborative governance, notably by government staying at one side of deliberations rather than as part of them and ultimately failed.

6 Policy implications of New Zealand infrastructure characteristics

Government's three roles as regulator, owner and enabler, together with their overlaps create opportunities for political intervention in the construction pipeline, either by creating demand, facilitating finance, or altering sector capacity and capability. They also operate across different timespans, creating uncertainty within broadly defined policy environments. This section describes significant characteristics of New Zealand infrastructure and identifies the policy implications of these.

6.1 Infrastructure characteristics

New Zealand has constructed a small but significant number of megaprojects in recent times, each with a total duration of 13 to 24 years – some four to eight three-year election cycles (Table 1). Transmission Gully provides a good example, as outlined in the Introduction. Auckland's City Rail Link illustrates how urban rail projects can have particularly long development periods. Early proposals emerged in the early 2000s, route protection and business case work continued

for more than a decade, and final approvals and funding agreements were secured by the mid-2010s. Main construction began in 2016. It is only now in final stages of testing and system integration, opening to passengers scheduled later this year.

Table 1: Project duration for major New Zealand infrastructure projects

Project	Planning & approvals	Construction	Total duration
Transmission Gully Motorway	~2007–2014 (7 years)	2015–2022 (7 years)	~15 years
City Rail Link	~2002–2015 (13 years)	2016–2026 (10 years)	~24 years
Waterview Connection	~2000–2012 (12 years)	2012–2017 (5 years)	~17 years
Pūhoi to Warkworth Motorway	~2009–2017 (8 years)	2018–2023 (5 years)	~13 years

Data: various

The City Rail Link was one of the most controversial infrastructure projects in modern New Zealand, although the controversy changed over time. Early debate focused on whether the project should be built at all. Later controversy centred on cost overruns, delays, governance, and value for money. For much of the 2000s and early 2010s, there was a major political dispute over whether Auckland's rail network justified such a large investment. The project became a major point of disagreement between Auckland Mayor Len Brown, who strongly championed it, and the then National-led government, which was initially reluctant to fund it. While costs and delays were controversial through the project's life, the deepest controversy was ultimately ideological rather than technical. Supporters viewed the project as a transformational investment comparable to major metro projects overseas and argued that Auckland could not continue relying primarily on roads. Critics argued that the benefits were overstated relative to the costs and that alternative transport investments would have produced better returns.

For major New Zealand infrastructure, the time spent in planning, route protection, business cases, consultation, environmental approvals, consenting, procurement, and funding decisions is often as long as or longer than the actual construction phase.

This means a major project often takes 10–20 years from conception to operation, with roughly 40–60% of the time spent before construction begins. Rail projects tend to sit at the upper end of this range, while major roads are usually somewhat faster. One of the recurring challenges in New Zealand infrastructure governance is therefore that governments making the initial planning decisions are often not the governments that ultimately deliver or open the project, creating opportunities for policy changes, redesigns, funding revisions, and delays over the life of a project.

Their significance ultimately for the pipeline is their enormous size that dominates public funding and the country's construction capacity. The New Zealand Infrastructure Commissions' (InfraCom) National Infrastructure Pipeline database identifies 12,000 initiatives worth a total of \$275 billion. Some 96% of projects have an expected cost of under \$50 million and 98% under \$100 million. These account for 22% of total pipeline value, while 44 megaprojects with costs of more than \$1 billion each make up half (52%) of total pipeline value. These are primarily government-led transport megaprojects.

The infrastructure construction sector is dominated by a few big players with many small players, with a small number of megaprojects dominating. Huxbo's league of New Zealand's top construction firms shows that six firms together account for half of the country's total project value (Figure 4).

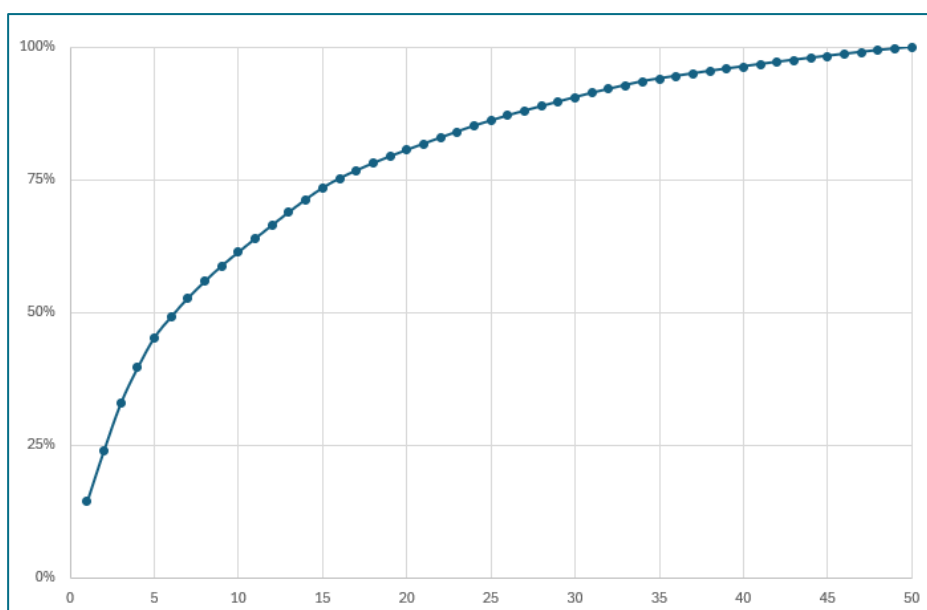


Figure 4: Cumulative ranked order value of top 50 construction sector by total project value. (Data: hubexo, 2024)

Their small scale also means that construction is completed quite quickly. Average number of days to completion is less than a year for houses and non-residential buildings (350 days) with apartments, townhouses and retirement Villages taking 420 days on average (StatsNZ data). Most projects of all size are completed well within three years, the length of an election cycle. (Table 2).

Table 2: Duration of construction phase (years)

Project type	Under \$0.5 m	\$0.5 - \$1 m	\$1 - 5 m	\$5 - 10 m	\$10 - 25 m	\$25 m and over
Civil	1.73	1.86	1.64	1.84	2.62	3.13
Residential	1.81	1.79	1.66	1.76	2.68	2.22
Commercial	1.65	1.23	1.84	2.02	2.40	2.54
Industrial	1.91	3.00	2.40	2.44	1.92	1.89
Education	1.04	1.36	2.43	1.25	2.00	2.50
Health	1.00	1.00	1.00		2.00	
Average	1.67	1.76	1.72	1.88	2.41	2.49

Data: CanConstructNZ: Aquino

Ownership

Significantly, central and local governments collectively own 71% of New Zealand's total infrastructure assets. Of the remaining 29%, electricity and gas infrastructure accounts for over half, telecommunications another quarter (New Zealand Infrastructure Commission, 2026). These were all up to the 1990s state-built and owned assets and underline the dominant role that government plays in infrastructure provision.

OECD countries are seen as having mature infrastructure (OECD, 2007). New Zealand is no different. Adjusted for inflation, the value of infrastructure assets rose from \$32,900 per person in 1990 to \$55,800 per person. This suggests that we have 70% more infrastructure per person than we did a generation ago. Most infrastructure is to a greater extent already built; the focus now needs to pivot from new construction to upgrading and maintenance (Infrastructure New

Zealand, 2025/2026; New Zealand Infrastructure Commission, 2026). In the first instance, it is seen as underperforming: expensive and under-maintained.

Of concern, government renewal investment is around 60% of current asset investment. While the private sector (electricity sector) matched depreciation, government significantly under-invested apart from flood protection and control works (the reasons are discussed below) (Figure 5). The data suggest a significant difference between public and private sector ownership infrastructure management.

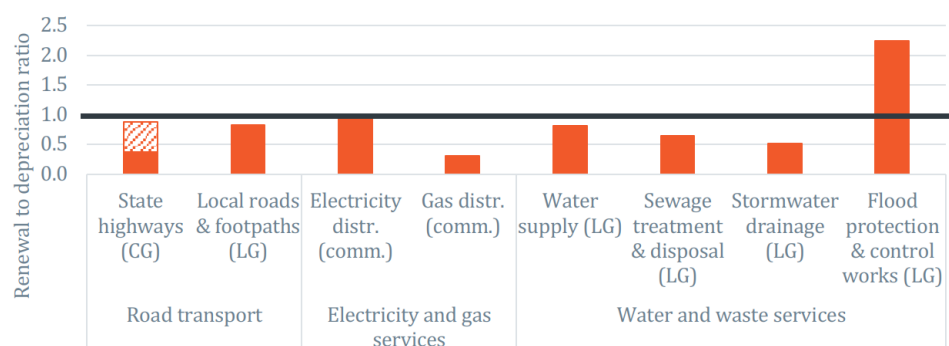


Figure 5: Renewal to depreciation ratios for selected infrastructure sectors (Source: InfraCom, 2026)

Depreciation funding is revealing (see Figure 5). Territorial councils, responsible for three waters, and local roads and footpaths are chronically underfunding renewal. However, flood protection and control, a regional council function, is funded at over double replacement. The difference may be for several reasons. In the first instance, several major flood events in recent years make the possibility of flooding very real to ratepayers. Investment here has clearly perceived significant short-term benefits and potential high costs from under-investment. Repairing damage from these events will also boost expenditure. Also, these flood works are for the main part funded by levies on affected properties; the hypothecated funds and resulting benefits demonstrably linked to the funders.

On the other hand, the private sector likely reinvests in maintenance where it intends to hold assets long-term as opposed to asset-strip, because of GAAP requirements, it can also be expected to under-invest in new infrastructure as it is not able to capture all the positive externalities of doing so. For example, back of envelope calculations suggest that the New Zealand private sector has only invested in around \$4 billion (present-day value) in windfarms since the first one was built in the 1996.⁵ In comparison, the New Zealand government transferred the country's major electricity generation assets into Electricorp in 1988 and thereby enabling their future sale for NZ\$6.3 billion – around \$17 billion today.

6.2 Political uncertainties and risks

Government infrastructure policy statements and decisions remain political statements. Implementation relies on budget and Parliamentary approval – also any coalition partners.

Accordingly, it is one thing to make the policy statement, another to resource it, while the nature of parliamentary system means that any subsequent government can change or nullify any such

⁵ New Zealand currently has about 1,263 MW of operational onshore wind generation across 21 wind farms. Modern onshore wind farms in countries like New Zealand typically cost around NZ\$2.5–4 million per MW to build today : 1,263 MW×(NZ\$2.5–4.0 million/MW) = \$3.2 - \$5.1 billion.

statement. The 2026 central government - Auckland Council 'Auckland Deal', for example, is strong on promise but has already been criticised for lacking any confirmed funding by central government. As such it has no long life-expectancy and could well be rescinded or simply ignored by a future government.

Local government is subject to central government direction: in the extreme the institutional structures are changed, for example, their responsibilities for providing infrastructure and providing three-waters by the 67 territorial councils have undergone three structural changes in the last six years. The Labour government originally established four water entities, then 10 under its Three Waters initiative; under the National-led coalition's 'Local Water Done Well' there will be around 40.

Party political

It can be argued that neither of the main parties differ in infrastructure investment. Their positions on infrastructure have frequently overlapped (Gibbons, 2024), both for example promoting infrastructure development for regional development at different times (McNeill, 2019). Vowles Fonseca, in the lead-up to the 2020 general election examined infrastructure claims by National and Labour (Fonseka, 2020) with the lead-in:

Simon Bridges accuses Jacinda Ardern of stealing National's road projects and putting a Labour sticker on them. Ardern says they've been redesigned for buses and bikes.
Dileepa Fonseca umpires on who is: 'The Party of Infrastructure'.

Fonseka found that "The final score: There's no knockout winner, but Labour just edges it at 10-9." Its former Transport Minister, Simon Bridges, promised in that election that a National Government would again be the 'Party of Infrastructure'.

Labour Minister of Finance Grant Robertson, introducing the 2022 Budget:

For decades New Zealand's infrastructure has been neglected... We must address our current infrastructure deficits while also meeting future needs caused by population growth and climate change. When we took office we inherited a four year infrastructure plan of \$32.5 billion. Since then we have made steady increases in order to plug the infrastructure deficit we see in schools and hospitals...Budget 2022 lifts our investment again to \$61.9 billion of Crown spending on infrastructure from 2022 to 2026 (Robertson, 2022).

Both parties have also attempted to streamline regulatory processes, notably by reforming and then replacing the RMA at least in part to make it easier for infrastructure to go ahead.

Mitigating factors: Maintenance and construction

However, despite their significantly lower economic growth rates over the next few decades, OECD countries too will be required to invest heavily to maintain, upgrade or replace existing (and often ageing) infrastructures, and to preserve their international competitiveness. For OECD countries as a whole, investment requirements in electricity transmission and distribution are expected to more than double through to 2025/30, in road construction almost to double, and to increase by almost 50% in the water supply and treatment sector. (OECD 2007: 13) In OECD countries, infrastructure networks and systems are, broadly speaking, in place, and the scope for adding new infrastructure is limited. Consequently, a larger effort will need to be directed towards maintenance and upgrading of existing infrastructures and to

getting infrastructures. Long-term challenges for OECD countries: The growing importance of maintenance, upgrading and rehabilitation of existing infrastructures.

Public capital investment has steadily declined as a proportion of total government expenditure, while also increase in social expenditure driven by health and retirement. Pressure on finance – seen by government efforts to cap local government rates. Suggesting that financing is an increasingly politically volatile policy arena. Alternative, PPP models both unlock private sector capital and expertise, but also make commitments much more difficult to unravel.

7 Pipeline certainty: data and their management

Generating an accurate and comprehensive infrastructure pipeline would help optimise infrastructure resource demand and supply. Data-sharing and transparency about future investment pipelines at a local level would encourage more collaboration between infrastructure providers. It would also help depoliticise decision-making as it would make explicit the opportunity-costs of any changes to project priorities and funding. This depoliticization would help build certainty into the infrastructure landscape.

For the pipeline model to predict infrastructure capacity and capability with any useful accuracy, mandatory reporting of key infrastructure planning data, while maintaining commercial confidentiality is required.

InfraCom is the obvious agency responsible for the pipeline. Its main function as set out in the New Zealand Infrastructure Commission/Te Waihanga Act 2019 is to:

co-ordinate, develop, and promote an approach to infrastructure that encourages infrastructure, and services that result from the infrastructure, that improve the well-being of New Zealanders (s.9).

It is also required, *inter alia*, to provide advice in relation to infrastructure, including advising future needs and priorities for infrastructure, matters that may hinder or promote its delivery, and to support a strategic and co-ordinated approach to infrastructure delivery (Box).

InfraCom already reports on government infrastructure pipeline, most recently reported on in its National Infrastructure Plan 2026. However, this pipeline only covers the government's projects, compiled from responses by different government departments. Additionally, InfraCom's pipeline also omits the 30% of private sector projects that contribute to New Zealand's demands for capital, labour and materiel. These speak to a data deficit that needs to be addressed if planning certainty and confidence is to be achieved.

Government data

In essence it is a collation of departmental 'wish lists' from which government is expected to prioritise and choose which to fund in its Budget-setting, as opposed to a long-term sequence of infrastructure commitments. The inclusion of several megaprojects also introduces

Box: Functions of the Infrastructure Commission**New Zealand Infrastructure Commission/Te Waihanga Act 2019****9 Main function of Commission**

The main function of the Commission is to co-ordinate, develop, and promote an approach to infrastructure that encourages infrastructure, and services that result from the infrastructure, that improve the well-being of New Zealanders.

10 Additional functions of Commission

The Commission has the following additional functions:

Strategy and planning functions

- (a) to develop broad public agreement on the approach under section 9 and the strategy reports provided under subpart 3
- b) to provide advice in relation to infrastructure, including (without limitation) advice in relation to—
 - (i) the ability of existing infrastructure to meet community expectations; and
 - (ii) current and future infrastructure needs; and
 - (iii) the priorities for infrastructure; and
 - (iv) matters that prevent, limit, or promote the efficient and effective delivery of infrastructure, and services that result from the infrastructure:
- (c) to provide reports in accordance with subparts 3 and 4:

Support functions

- (d) to promote a strategic and co-ordinated approach to the delivery of current and proposed infrastructure projects:
- (e) to provide and co-ordinate information about current and proposed infrastructure projects:
- (f) to provide support services to current and proposed infrastructure projects.

considerable uncertainty as they remain politically very sensitive. Accordingly, the Infracom pipeline in its current form is more a stocktake than planning tool.

To be completely successful, the pipeline needs medium and preferably long-term government infrastructure funding commitments. This will not be easy, but possible ways are explored below.

Private sector data

As far as we can identify there is no way that private sector data can be comprehensively collected. This project faced considerable reluctance from many actors within the sector to providing any data, unlike experiences overseas. Commercial sensitivity was often cited. However, the provision of these data in a way that does not compromise commercial interest can be mandated through policy or legislative change.

Statistics New Zealand already has the power to request data from organisations to produce official statistics (Data and Statistics Act 2022, S.23), as well as being required to maintain commercial sensitivity of collected data.

The Environmental Reporting Act 2015 provides a possible model for reporting pipeline data. It requires the CEO of the Ministry for the Environment and the Government Statistician to jointly produce at least three-yearly synthesis reports covering the general state of New Zealand's environment as well as changes over time.

Infrastructure Australia takes a more ambitious approach (Box). It seeks to improve industry capacity and capability by prioritising procurement and portfolio management and increasing pipeline transparency, certainty and confidence. To do so, it wants Australian state and territory treasuries, supported by infrastructure delivery agencies to engage with industry to manage its capacity and risk exposure. It wants a jurisdiction-wide, cross-sectoral infrastructure project pipeline that actively tracks progress of projects throughout their lifecycle and annual jurisdiction-wide pipeline briefings that provide industry with a clear macro-level view of expected procurements (Infrastructure Australia, 2021 p.60).

Box: Infrastructure Australia recommendations to improve industry capacity and capability by prioritising procurement and portfolio management and increasing pipeline transparency, certainty and confidence (Infrastructure Australia, 2021 p.60)

1. Ensure active management of project procurement within the pipeline and help industry to actively manage its capacity and risk exposure by strengthening portfolio management capabilities within the public service.
2. Ensure active management of project procurement within the pipeline and help industry to actively manage its capacity and risk exposure by strengthening portfolio management capabilities within the public service.
3. Develop a jurisdiction-wide, cross-sectoral infrastructure project pipeline that actively tracks progress of projects throughout their lifecycle while considering critical inputs, constraints and risks that influence their deliverability.
4. Provide annual jurisdiction-wide pipeline briefings that provide industry with a clear macro-level view of expected procurements and act as a forum to provide feedback on pipeline risk.
5. Ensure future infrastructure investment and project delivery commitments are regularly reviewed and considered against the jurisdiction-wide, cross-sectoral infrastructure project pipeline and industry capacity forecasts.

Appendix 1: Government's infrastructure policy framework

1 Introduction

Government can and does intervene through a wide range of legislation to establish the policy framework by which it shapes the different stages of infrastructure development, from planning to construction to ownership. Statutes provide the foundations for any intervention. They can be enabling or prescriptive depending on legislative intent. Regulations, as secondary legislation, provide technical direction. Policies and strategies set out intent and direction of government's funding and investment.

This paper provides a background to New Zealand's public policy system and its relevance to infrastructure development and planning. The first part sets out the general principles of New Zealand government and the structures for implementing policy intentions. It then sets out the relevant legislation and relevant government organisations and agencies responsible for designing and implementing infrastructure policy. It depicts a web of government organisations responsible for regulating, owning, and enabling infrastructure development in New Zealand.

2 Institutional framework: a background

This political decision-making – the application of political power – is mediated by the institutional arrangements governing the authorising and funding of infrastructure projects. Institutions have two components – formal institutions are the legislative and organisational structures of government; informal institutions are the behaviours of actors within the constraints of formal institutions.

At a formal institutional level, New Zealand governments are bound by the *ultra vires* principle that dictates that government bodies, ministers, and public authorities must act within the legal limits defined by their authorizing legislation or constitution. Acts or decisions exceeding these powers are considered invalid, void, and susceptible to judicial review. However, the government is able to change the law, though this can have political costs. For example, the Clutha Development (Clyde Dam) Empowering Act 1982, enacted by the Muldoon government overrode local objections and potential planning delays under the existing legislation by granting the Crown direct authority to dam the river, bypassing standard catchment board administered resource consent processes.

The government has considerable discretion within the legislative framework. Modern legislation tends to be enabling, establishing decision-frameworks instead of being prescriptive. Regulations, for example under the RMA 1991 setting national environmental performance standards or bottom lines can be changed by order-in-council, albeit subject to judicial review.

Governments are able to set policy direction, directing where and how much funding is to be directed through policy statements. Often delegated, for example land transport.

Most recently, the current government has initiated partnership agreements with local government. The 'Auckland Deal' (New Zealand Government & Auckland Council, 2026) sets out a comprehensive package that includes several substantial infrastructure projects.

Local government is similarly bound by the *ultra vires* principle. Further, as a creature of statute (Local Government Act 2002) it is ultimately shaped by central government. Individual councils derive powers from specific legislation that enable them to undertake infrastructure projects. They also have a degree of freedom to act under their powers of general competence provided by the LGA, provided by they can show they are supporting the welfare of their communities.

3 legislative principles for infrastructure management

New Zealand's Parliament is sovereign – it makes and repeals legislation and holds the executive (government) accountable for its actions by controlling the supply of money (the Budget) and holding it to account for its actions. In practice there is a conflation of Parliament and government as the government is formed by a majority of members of Parliament.

The government operates under the *ultra vires* principle. Whereas it is presumed that individuals and firms can act unless the law prohibits that action, the reverse presumption applies to government: the government can only act if it is permitted to do so by legislation. (Note that Parliament passes the legislation, which is then signed off by the King or, nearly always, the Governor-General in his absence.) New Zealand has no constitutional court and legislation cannot be appealed, though the courts will interpret the law as their prime functions. Individual legislation can be amended through legislation (an amendment Act). Until passed into law any intended amendment has no legal force.

Some legislation provides for delegating authority to make 'second order' legislation: regulations, rules, and standards. The logic is that these rules are technical and/or need to be changed reasonably often, while the overall intent does not. Delegation therefore reduces the demands on Parliament's time.

Regulations: Often made by "Order in Council" (Cabinet and the Governor-General) to establish legally binding standards, fees, or penalties. They are a formal type of delegated legislation.

Rules: Usually signed into law by a Minister (e.g., Minister of Transport) under specific legislation. They provide detailed technical guidance for compliance, sometimes having separate, corresponding offences under the primary Act.

Regulations are broader and can cover licensing, safety, and operational procedures, whereas rules or standards tend to focus on specific, actionable technicalities.

The Local Government Act 2002 and the Resource Management Act 1991 both delegate power to local authorities to make regulations: bylaws (LGA) and regional and district plan rules contained within regional and district plans. These rule and bylaws are enforceable through the courts.

Second order legislation can be appealed with appellants seeking judicial review of a minister or council's decision, or through special provisions within the legislation (RMA).

Consents (essentially granting of specified property rights) can also be made by a consent-granting authority where provided in the legislation, e.g. granting by a territorial local authority of building consents under the Building Act or resource consents or water permits under the RMA.

Cabinet – the government’s executive – is also able to make decisions by Cabinet Minute or Official Circular by making a **rule** intended to facilitate day-to-day business. The government’s procurement rules are an example. Circular CO (23) 09 *Investment Management and Asset Performance in Departments and Other Entities* sets out Cabinet’s expectations of departments’ asset investment and management.

A rule can be modified or rescinded by a subsequent Cabinet minute.

The government can and does make **policy statements or strategies**. The Public Finance Act 1989 for example, requires all government departments to prepare and publish three-yearly strategies setting out their intentions. The Kāinga Ora – Homes and Communities Act 2019 requires the government to publish a Government Policy Statement on Housing and Urban Development. This document set out a 30-year vision as well as shorter-term means for achieving it. These statements can be changed either by government or minister to match the portfolio minister’s expectations that in turn largely match the government’s political intentions.

Ministers may also announce ministerial or government **strategies** or strategic plans. Most have no statutory basis but serve only to guide align and coordinate government and partner actions. Although some have long-term visions (up to 30 years in some cases) they may well be ignored or abandoned by an incoming government, especially where they are at odds with the new government’s party manifestos and public announcements. They are not legally enforceable.

In summary, legislation is binding, while policy statements are not and may not survive a government’s term of office. But legislation can and is amended to align it with the current government’s political intentions. While longer-term plans and strategies may set out long-term visions and strategies, none can be guaranteed to have a life longer than the government that prepared them.

4 Infrastructure-relevant legislation

4.1 Planning

Resource Management Act 1991

Urban Development Act 2020

The Act aims to consolidate various powers related to Resource Management Act consenting, plan changes, infrastructure planning, funding, and delivery, as well as other powers (including land acquisition and road stopping), into a single statutory framework. The intention of the Act is to create a more streamlined and integrated framework for the development of specific parcels of land with complex development needs that would otherwise require fragmented decision-making under more general legislation such as the Resource Management Act, Local Government Act and Land Transport Management Act (among others).

The Act, alongside the Kāinga Ora – Home and Communities Act, creates a framework for transformational urban development that contributes to sustainable, inclusive and thriving communities.

Building Act 2004

Climate Change Response Act 2002

Public Works Act 1981

4.2 Central government provision

Crown Entities Act 2004

All Crown entities must produce both a **Statement of Intent** (SOI) outlines medium-to-long-term strategic goals (3-5 years), and a **Statement of Performance** Expectations (SPE) that sets annual performance targets, deliverables, and financial forecasts for the upcoming financial year. They are intended to support accountability, transparency, and good performance. The purpose of a SPE is to enable the responsible Minister to participate in setting the annual performance expectations of the Crown entity ; enable Parliament to be informed of those expectations; and to provide a base against which actual performance can be assessed. This legislation applies to Kāinga Ora

Land Transport Management Act 2003

Infrastructure Funding and Financing Act 2020

Kāinga Ora – Homes and Communities Act 2019

4.3 Local government provision

Local Government Act 2002

Local Government (Water Services Preliminary Arrangements) Act 2024

4.4 Workforce

Health and Safety at Work Act 2015

Worker Protection Act 2023

4.5 Information and strategies

Public Finance Act 1989

- Departments must provide information on strategic intentions covering the forthcoming financial year and at least the following 3 financial years
- The information must be provided at least every 3 years (s.38)
- The department must publish the information on an Internet site maintained by or on behalf of the department (s.39)

5 Government organisations and agencies

Government both regulates and delivers services. Historically, New Zealand governments have delivered many infrastructure projects itself, beginning with the 1880s Vogel government embarking on major transportation projects, most notably the North Island Main Trunk railway line. The Ministry of Works and Development planned, designed and built most of the post-Second World War roading and rail, and with the Ministry of Energy, energy infrastructure up until it was disestablished in 1988 (the operations arm eventually privatised).

New Zealand's infrastructure system is unusual because responsibility is spread across a large number of agencies. Many agencies perform both owner and regulator functions, but if classified according to their primary infrastructure role, the landscape looks broadly as follows.

5.1 Government departments

Agency	Primary infrastructure responsibilities
New Zealand Transport Agency Waka Kotahi	State highways, transport investment, transport assets
Health New Zealand Te Whatu Ora	Hospitals, health facilities, clinical infrastructure
Ministry of Education	School property portfolio and educational facilities
Department of Corrections	Prisons and correctional facilities
New Zealand Defence Force	Defence bases, military infrastructure
Department of Conservation	Visitor infrastructure, tracks, huts, conservation assets
Kāinga Ora – Homes and Communities	Public housing and urban development assets
Fire and Emergency New Zealand	Fire stations and emergency response infrastructure
New Zealand Police	Police stations and operational facilities
Ministry of Business, Innovation and Employment	Government accommodation and some strategic infrastructure programmes
Crown Infrastructure Partners	Broadband, regional and strategic infrastructure investments

Infrastructure regulator

Agency	Regulatory responsibilities
Ministry of Transport	Transport policy and regulation
Ministry of Business, Innovation and Employment	Building regulation, energy and telecommunications policy
Ministry for the Environment	Environmental regulation and resource management policy
Treasury	Infrastructure strategy, fiscal oversight, PPP policy
Infrastructure Commission Te Waihanga	Long-term infrastructure strategy and system stewardship
Commerce Commission	Economic regulation of electricity lines, airports and telecommunications
Environmental Protection Authority	National environmental consenting functions
Civil Aviation Authority	Aviation safety regulation
Maritime New Zealand	Maritime safety and navigation regulation
Water Services Authority Taumata Arowai	Drinking water and wastewater regulation
Electricity Authority	Electricity market governance

Infrastructure owner and regulator

Agency	Owner role	Regulator role
New Zealand Transport Agency Waka Kotahi	Owns and manages state highways	Regulates land transport and safety functions
Ministry of Education	Owns school property	Regulates aspects of education infrastructure standards
Ministry of Business, Innovation and Employment	Some government property responsibilities	Building, energy and telecommunications regulation
Department of Conservation	Owns and manages conservation assets	Exercises regulatory powers under conservation legislation

5.2 Relevant Crown Entities⁶

Crown Entities

Statutory Crown entities are government organisations set up by law to deliver specific services. Crown entities include statutory entities (Crown agents and autonomous and independent Crown entities), Crown entity companies, School Boards of Trustees and tertiary institutions.

They get their funding mainly from taxpayers, but sometimes also from fees, levies or other sources. Most Crown entities are run by a board chosen by a government minister. While some of Crown entities work is independent (as set out in law), they still need to follow government priorities and policies. They are expected to act in line with what their minister wants and follow many of the same rules as other government departments. Their boards are responsible for how well they perform and how they spend public money, and they must answer to both their minister and Parliament.

Te Whatu Ora | Health New Zealand

Health New Zealand is a Crown agent that was established in 2022 to run the health system across New Zealand, with functions delivered at local, district, regional and national levels. It is responsible for delivering quality hospital and specialist services that are consistent and equitable for all areas of New Zealand.

Kāinga Ora – Homes and Communities

Kāinga Ora is a Crown Agent that brings together the people, capabilities, and resources of the KiwiBuilt Unit, Housing New Zealand and its subsidiary HLC. This achieves a more joined-up approach to housing and urban development. Kāinga Ora manages public housing and acts as landlord for these properties. It partners with local government, Māori and community groups on urban development and reducing homelessness.

Waka Kotahi | New Zealand Transport Agency

Waka Kotahi is a Crown Agent responsible for managing the state highway network and the wider national land transport system. This includes managing the licensing of drivers and vehicles. It works to provide one integrated land transport system that helps people get the

⁶ <https://www.publicservice.govt.nz/system/central-government-organisations#Crown-entities>

most out of life and supports business. Its focus areas include reducing injury on the roads, providing fair and equitable access to the transport system, and responsibly managing the transport system's interaction with the environment.

Autonomous Crown Entities

Autonomous Crown Entities operate at a further remove from government. They have no direct infrastructure impacts at present. The New Zealand Infrastructure Commission/Te Waihanga

However, the **Accident Compensation Corporation** and **Government Superannuation Fund Authority** have very large investments and have been seen as a source for financing New Zealand infrastructure projects.

Invest New Zealand, established in 2025 under the Invest New Zealand Act 2025, is responsible for attracting and enabling high-quality foreign direct investment that supports long-term economic growth and productivity. In particular, its focus is on

- Providing a streamlined, 'one door' entry point for international investors
- Targeting large-scale global capital and investment opportunities typically between NZD \$100 million and NZD \$1 billion
- Supporting mid-cap investments with the potential to scale over time
- Advising on policy and regulatory settings that influence the investment environment
- Partnering with experienced investors through the Active Investor Plus Visa⁷

Crown companies

The Crown also is a shareholder of several companies of under the Public Finance Act 1989. The non-listed companies in which it is sole shareholder in several companies (Schedule 4A Companies) include several with significant infrastructure dimensions:

- City Rail Link Limited
- Crown Regional Holdings Limited
- Crown Infrastructure Delivery Limited
- Ferry Holdings Limited
- Kiwi Group Capital Limited
- National Infrastructure Funding and Financing Limited
- New Zealand Green Investment Finance Limited
- Tāmaki Redevelopment Company Limited

State-owned enterprises

SOEs are managed as profit-making businesses. However, they receive ministerial direction in their annual Letters of Expectations from the appropriate minister. These letters can set out government priorities, including new investment and distributions to the Crown.

- Electricity Corporation of New Zealand Limited
- KiwiRail Holdings Limited
- Kordia Group Limited
- New Zealand Railways Corporation
- Transpower New Zealand Limited

⁷ <https://www.nzte.govt.nz/page/invest-or-raise-capital-with-nzte>

Mixed ownership

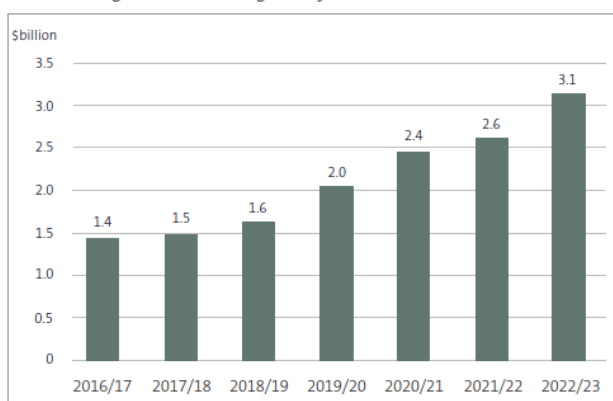
- Genesis Energy Limited
- Mercury NZ Limited
- Meridian Energy Limited

6 Local government

New Zealand local governments are responsible for roughly half of the country's public infrastructure spending. Recent data indicates councils invested approximately \$5.8 billion in capital expenditure, primarily infrastructure, in 2021/22. While overall infrastructure spending (including central government) ranks high in the OECD, local councils face significant funding constraints (Controller and Auditor-General, 2024). Local government infrastructure is somewhat insulated from central government. Operating under the LGA2002 the councils are remarkably autonomous: consisting only of locally elected members, largely self-funding and charges, and able to make second-order legislation.

Funding is primarily through property-taxes (rates) – around 45% of total revenue – subsidies and grants from central government is around 15% (Controller and Auditor-General, 2024). Subsidies and grants have increased substantially in the last decade, particularly during the time of the Labour government (2017-2013). This increase came from several initiatives, including expanding the roading infrastructure and increased public transport funding but also in part reflects Covid-response 'shovel-ready' funding, and provincial growth funding and 'better off' funding made available as part of that government's Three Waters Reform programme. Some local governments also received grants to assist with natural disaster recovery.

Subsidies and grants revenue recognised by councils, 2016/17 to 2022/23



Source: Analysed from information collected from councils' annual reports.

Local government's annual total capital expenditure is around \$7 billion. Depreciation and amortization take around a fifth of (22%) of actual operating expenditure. However, councils are not fully reinvesting in their assets: since 2012/13 councils capital expenditure for renewals was between 74 and 89 percent of depreciation. The only exception has been flood protection investment by regional councils. Higher roading investment resulted from Waka Kotahi co-funding.

Nevertheless, the structure and funding model poses severe limits on councils, who face strong political backlash from both ratepayers and central government that is aware of ratepayer backlash from increasing rates. The government has announced its intention to cap increases

of all sources of rates – general rates, targeted rates and uniform annual charges but will exclude water charges and other non-rates revenue like fees and charges to 4% to fully take effect from 2029 (Watts, 2025).

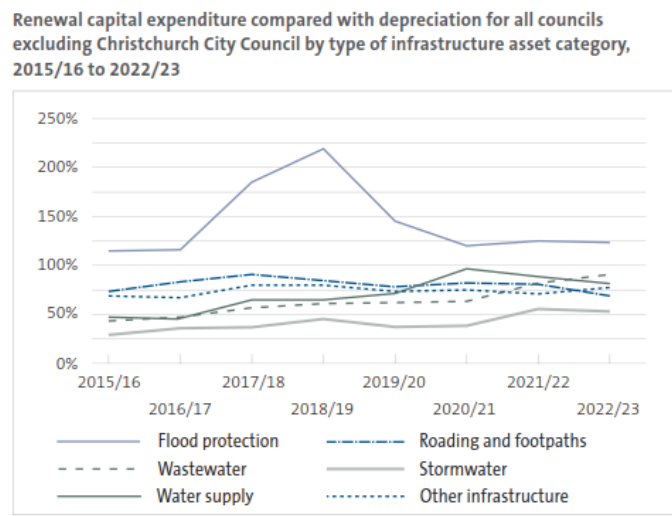
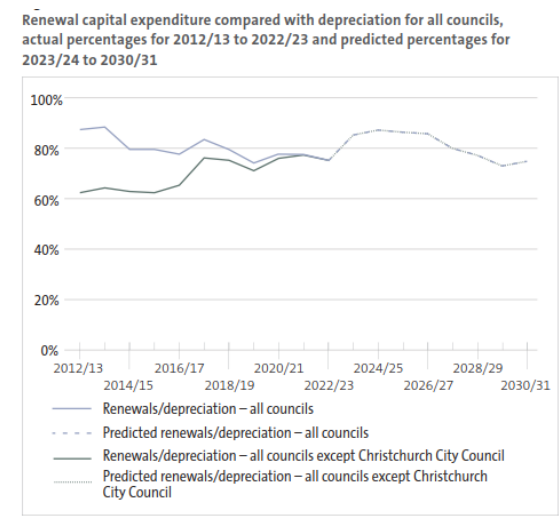


Figure 6: Local government renewal capital expenditure. (Source: Controller and Auditor-General (2024).)

Table 3: Infrastructure policy register

Category (System)	Statutory basis	Policy/regulation	Lead agency	Infrastructure Type	Targets Who	Project Stage	Mechanism
Resource Management System	Resource Management Act 1991	Regional/District Plan/Consents	LAs	All	All	Approval	Planning & consenting
Resource Management System	Resource Management Act 1991	NPS on Urban Development (2020, strengthened 2022)	MfEt (=> MCERT)	Housing / Mixed-use	Local Govt	Approval	Zoning / density rules
Resource Management System	Resource Management Act 1991	Medium Density Residential Standards (2021)	MfE/MCERT	Housing	Local Govt	Approval	Zoning – 3 dwellings per site
Resource Management System	Fast-track Approvals Act 2024	Ministerial referrals to EPA	Minister, EPA	Transport / Energy / Housing / Water	Central Govt	Approval	Accelerated consenting for major projects
Infrastructure Planning System	Infrastructure Commission/Te Waihangā Act 2019	National Infrastructure Strategy (30-year, updated 2022)	InfraCom	All	Central Govt	Planning	Long-term pipeline planning
Infrastructure Planning System	Infrastructure Commission/Te Waihangā Act 2019	Data collection	InfraCom	All	Central Govt	Planning	Coordination & prioritisation
Infrastructure Planning System	Land Transport Management Act 2003	National land transport fund	LTMA	Transport	Central Govt	Planning	Transport investment framework
Infrastructure Planning System	Land Transport Management Act 2003	National Land Transport Programme	LTMA	Transport	Central Govt	Planning	Investment pipeline
Infrastructure Planning System	Land Transport Management Act 2003	Regional plans	LTMA, RC, TLAs	Transport	Central Govt	Planning	Transport investment framework
Infrastructure Planning System	Local Government Act 2002	Service provision requirements/powers of general competence	LAs	All	Local Govt	Planning	LG infrastructure planning & funding
Urban Development & Housing System	Urban Development Act 2020	Specified Development Project (SDP)	MHUD (=> MCERT)	Housing / Mixed-use	Central Govt / Crown	Planning	Development authority powers
Urban Development & Housing System	Kāinga Ora – Homes and Communities Act 2019	Turnaround Plan 2024 [non-statutory]	Kāinga Ora	Housing	Crown	Planning / Delivery	Public housing development & land
Urban Development & Housing System	Crown Entities Act 2004 [applies to Kāinga Ora]	Statement of Intent and Statement of Performance Expectations	Kāinga Ora	Housing	Crown	Planning / Delivery	Public housing development & land
Urban Development & Housing System	Kāinga Ora – Homes and Communities Act 2019	Government Policy Statement on Housing and Urban Development	Kāinga Ora	Housing / Infrastructure	Crown	Planning	Coordination & prioritisation
Urban Development & Housing System	Infrastructure Funding and Financing Act 2020	Contestable funds	NIFF	Housing / Infrastructure	Central Govt / Local Govt	Planning	Infrastructure co-funding for housing
Infrastructure Funding System	Infrastructure Funding and Financing Act 2020	Infrastructure Acceleration Fund (contestable)	NIFF	All	Central Govt / Local Govt	Planning	Contestable fund
Infrastructure Funding System	Infrastructure Funding and Financing Act 2020	Better Off Funding	NIFF	All	Central Govt / Local Govt	Planning	Contestable fund

Infrastructure Funding System	Public Works Act 1981	Notice of Intention to Acquire	Crown, LAs	Transport / Energy / Water	Central Govt / Local Govt	Approval	Compulsory land acquisition
Infrastructure Funding System	Local Government Act 2002	Financial Strategy	LAs	All	Local Govt	Approval	Funding allocation
Building Regulatory System	Building Act 2004	Building Regulations 1992 (Building Code)/PIM/Consents	MBIE, TAs, Building accredited Consent Authorities	All	LG	Approval	Building compliance framework
Building Regulatory System	Building Act 2004	Licensed Building Practitioners Rules 2007		All	All	Delivery	Workforce certification
Building Regulatory System	Industry code (voluntary)	CodeMark Certification Scheme (2010)		All	All	Delivery	Product / materials certification
Building Regulatory System	Building Act 2004	Building (Exempt Building Work) Order 2020	MBIE, TAs, BCAs	All (residential focus)	All	Approval	Reduced compliance burden
Procurement System	Cabinet Rules	Government Procurement Rules & Construction Procurement Guidelines	Cabinet	All	Govt	Procurement	Procurement framework & practice
Procurement System	Construction Contracts Act 2002	-		All	All	Procurement / Delivery	Payment security & contracting
Workforce & Training System	Immigration Act 2009	Immigration (Visa, Entry Permission, and Related Matters) Regulations 2010: Accredited Employer Work Visa		All	All	Delivery	Skilled migrant labour pathway
Workforce & Training System	Education and Training Act 2019	Apprenticeship Support Programmes (Boost + Targeted Training & Apprenticeship Fund, 2020)		All	All	Delivery	Wage subsidy & training incentives
Workforce & Training System	Education and Training Act 2020	Vocational Education & Training (VET) Redesign [replaces RoVE / Te Pūkenga]		All	All	Delivery	Training system restructure
Workplace Regulation	Health and Safety at Work Act 2015	-		All	All	Delivery	Safety compliance
Workplace Regulation	Worker Protection Act 2023	-		All	All	Delivery	Employment conditions
Climate & Environmental System	Climate Change Response Act 2002	NZ ETS		All	All	Delivery	Emissions reduction framework
Climate & Environmental System	Building for Climate Change Programme (2020) [NS]	Building Act 2004: Building Code		All (buildings)	All	Delivery	Building emissions reduction

Water Infrastructure System	Local Government (Water Services Preliminary Arrangements) Act 2024	Local Water Done Well Programme (2024)		Water / Three Waters	Local Govt	Planning	Water infrastructure reform & funding
[Repealed – for reference]	Natural and Built Environment Act 2023 & Spatial Planning Act 2023	-		All	All	Approval / Planning	RMA replacement (never fully operative)
[Repealed – for reference]	KiwiBuild Programme (2018–2024) [NS]	Policy statements and ministerial directives		Housing	Crown	Delivery	Affordable housing construction programme
	Public Finance Act 1989	Departmental Statements of Strategic Intentions			Crown	Planning	
	Invest New Zealand Act 2025	Foreign investment into NZ				Funding	

Appendix 2: Transport Infrastructure policies

1 Transport Infrastructure policies

New Zealand's transport infrastructure operates under several different strategies and funding policy regimes (Table 3). Statutory policies and strategies are intended to provide at least medium-term direction covering an election cycle. In addition, successive governments have championed their own infrastructure projects. These tend to be limited to the term of the government that established them, although the individual funded projects already under construction remain on the books of the successive government until completed. However, megaprojects still in the planning stage are susceptible to cancellation (Table 4).

Table 4: Recent government transport strategies

Strategy	Term	Purpose	Guides/directs
Statutory policies and strategies			
Government Policy Statement (GPS)	3 years	- Provides direction - Sets funding ranges	
National Land Transport Programme (NLTP)	3 years	Directs investment to give effect to GPS	- NZ Rail Plan - State Highway Plans - RLTP
National Land Transport Fund (NLTF)		Finances NLTP	Funded by : - Fuel excise tax & Road user charges - Vote Transport - Loans - Crown Top ups - Local government
Regional Land Transport Plans (RLTP)		- Public transport - SH improvements - Local roads	
Special projects			
Roads of National Significance (RoNS)	2009-2017; 2024-present	\$9.6 billion \$32.9 billion	
NZ Upgrade Programme (NZUP)	2020	\$12b infrastructure - Transport - Health - Education	
Auckland Transport Alignment Project (ATAP)	2015-present	Cross-agency partnership (central govt depts and Auckland Council)	Strategic reports

Table 5: Recent transport megaprojects

Project	Location	Type	Estimated Cost	Status
City Rail Link	Auckland	Underground metro rail	\$5.5 billion	Near completion
Let's Get Wellington Moving	Wellington	Multi-project urban transport programme	\$6.4 billion total programme	Dissolved (some parts continue)
Mass Rapid Transit (part of LGWM)	Wellington	Light rail / rapid transit	\$2.2 billion	Cancelled 2023
Additional Mount Victoria Tunnel	Wellington	Road tunnel + corridor upgrade	\$700 million	Early planning
Basin Reserve Upgrade	Wellington	Grade separation/interchange	\$190 million	Early planning
Auckland Light Rail	Auckland	Proposed light rail	\$9–16 billion	Cancelled 2023
Ōtaki to north of Levin Expressway	Lower North Island	Highway/expressway	~ \$2 billion	Early planning
Penlink	Auckland	Highway connection	\$830 million	Under construction
Mill Road Corridor	South Auckland	Arterial road corridor	\$1.3–1.5 billion	Early planning
Third Main Rail Line	Auckland	Freight/passenger rail capacity	\$315 million	Completed

Data: various

2 Transport infrastructure and election volatility

It is important not to overstate electoral volatility on infrastructure. An examination of transport infrastructure initiatives of four governments over the last 26 years (Table 5) shows that both major political parties champion infrastructure and have highlighted it in their election manifestos.

Table 6: Recent New Zealand governments

49. Helen Clark	10 December 1999 – 15 August 2002	Labour/Alliance
	15 August 2002 – 19 October 2005	Labour/Progressive
	19 October 2005 – 19 November 2008	Labour/Progressive
50. John Key	19 November 2008 – 14 December 2011	National/ACT/United Future/Māori Party
	14 December 2011 – 8 October 2014	National/ACT/United Future/Māori Party
	8 October 2014 – 12 December 2016	National/ACT/United Future/Māori Party
51. Bill English	12 December 2016 – 26 October 2017	National/ACT/United Future/Māori Party
52. Jacinda Ardern	26 October 2017 – 6 November 2020	Labour/NZ First/Green Party
	6 November 2020 – 25 January 2023	Labour/Green Party
53. Chris Hipkins	25 January 2023 – 27 November 2023	Labour/Green Party
54. Christopher Luxon	27 November 2023 –	National/ACT/NZ First

Although directly comparable data are not available, approximated data shows a reasonable consistency in funding of the New Zealand Land Transport Fund funding across the period when adjusted for inflation (Table 5).

Table 7 NZTA Spending (Real NZD, billions, approx)

Year	Total NLTF (\$bn)	New Infrastructure (\$bn est)	Total NLTF (2025 \$bn)
2009/10	~4.5	~2.0	~6.5
2012/13	~5.0	~2.4	~6.6
2016/17	~6.0	~3.0	~7.2
2019/20	~7.0	~3.8	~7.8
2022/23	~7.5	~3.9	~7.9
2024/25	~6.9–7.0	~3.5–3.8	~7.0

Rather, the evidence suggests elections tend to reshape *priorities and framing* more than completely reset infrastructure investment.

2002 Budget (Labour)

The 2002 New Zealand Budget, delivered on May 23, 2002, focused on integrating transport modes (road, rail, public transport, walking, and cycling). A key highlight was the purchase of the Auckland rail corridor and a \$227 million land transport package to improve road safety, regional development, and alternatives to road transport.

Key 2002 Transport Highlights:

- **Auckland Rail:** The government announced the purchase of the Auckland rail corridor to improve metropolitan transport infrastructure.
- **Land Transport Package:** A \$227 million funding package was announced, covering roading, public transport, and safety initiatives.
- **Walking & Cycling:** The budget provided \$3 million in targeted funding specifically for walking and cycling promotion and infrastructure.
- **Road Safety:** An additional \$34 million was allocated for road safety education and enforcement, supplementing existing funds.
- **Regional Development:** Policy changes prioritized funding for roading in regional areas, particularly Northland and Tairāwhiti, to assist development.
- **Strategy Development:** This funding sat within the development of a broader New Zealand Transport Strategy aimed at integrating social, environmental, and economic goals.

The 2002 transport announcements highlighted a shift towards supporting a more balanced, multi-modal, and safe transport system.

2007 Budget (Labour)

The 2007 New Zealand Budget featured a significant focus on land transport, with \$2.26 billion total expenditure for 2006/07. Key initiatives included a \$145 million boost for highways, major funding for Auckland/Wellington rail electrification, and a potential regional fuel tax of 10 cents per litre for infrastructure.

Key 2007 Budget Transport Initiatives:

- **Funding Allocation:** 97% of the \$2.26 billion Vote Transport was dedicated to land transport via the National Land Transport Fund (NLTF).
- **Roading & Maintenance:** \$1.31 billion was allocated for state highways, local roads, and construction.

- **Public Transport Boost:** Public transport funding in the National Land Transport Programme increased by 24% (\$151 million) to a total of \$778 million.
- **Infrastructure Projects:** Significant funds went toward Auckland and Wellington rail projects, including improvements to the Auckland rail network.
- **Regional Fuel Tax:** A proposed 10 cents per litre fuel tax was introduced, designed to raise funds for regional projects, starting with Auckland.
- **Environmental Measures:** The budget supported environmental initiatives such as the Biofuels Sales Obligation and a mandatory vehicle fuel economy labelling scheme.

Key Focus Areas:

- **Auckland & Wellington:** Targeted improvements for traffic congestion and public transport in the major cities.
- **Sustainability:** Strengthening transport options and addressing environmental impacts, including encouraging cycling and walking.
- **Rail:** Continued investment into revitalizing the national rail network.
- Votes Transport, Police and State Services - Budget 2007 I

2008 Fuel Excise Duty hypothecation (Labour)

Full hypothecation of all Fuel Excise Duty (FED) to the National Land Transport Fund (NLTF) in New Zealand was introduced on July 1, 2008. This policy dedicated all FED revenue from road users directly to land transport activities—including roading and public transport—rather than to the government's general account. Land Transport Management Amendment Bill 2007, shifting all petrol tax into the NLTF to fund the National Land Transport Programme (NLTP). (Labour).

2008 Roads of National Significance policy (National)

2012 First public private partnership (PPP) (National)

partnership (PPP) for the design, construction, finance and maintenance of Auckland's Hobsonville Point primary and secondary schools

2014 Local government infrastructure strategy (National)

Local Government Act Amendment requires local authorities to prepare and adopt an infrastructure strategy for a period of at least 30 consecutive financial years, as part of its long term plan.

2015 Auckland Transport Alignment Project (National)

Terms of reference for the Auckland Transport Alignment Project signed Minister of Finance Hon Bill English, The Minister of Transport Hon Simon Bridges, the Mayor of Auckland Len Brown, and Auckland Councillor Bill Cashmore.

2019 Construction Sector Accord (Labour)

2019 (September) Infrastructure Commission established (National)

2023 election: two competing narratives

Labour proposal - snapshot

In the run up to the election the Labour party announced a \$45 billion plan to construct two road tunnels and a light rail tunnel across Auckland's Waitemata Harbour. This was followed by the unveiling of its plan for land transport over the next decade, prioritising more than \$20 billion of funding on 14 key strategic projects, comprising new roads and public transport links.

National proposal - snapshot

As campaigning got underway, the National Party announced its own package of projects, "Transport for the future", which comprises an investment of \$24.8 billion over 10 years on 13 roads of national significance, public transport projects in Auckland and the lower North Island, and a range of resilience upgrades. National signalled that its long-term vision is to connect Whangārei, Auckland, Hamilton, and Tauranga with four-lane highways. Stripped of campaign rhetoric, the 2023 transport debate largely settled into two competing narratives.

The first emphasised roads, delivery speed, and economic efficiency. Proponents argued that New Zealand had underinvested in core roading infrastructure, that congestion was costing billions in lost productivity, and that the system needed a reset toward projects that could be delivered faster and more predictably.

The second focused on mode shift, public transport, and long-term resilience. Supporters of this approach argued that cities could not be built around ever-increasing car use, that emissions targets demanded structural change, and that investment in buses, trains, and active modes was essential to affordability and access.

With the benefit of hindsight, Election 2023 was less about specific projects and more about confidence in delivery. Voters were being asked not just what should be built, but whether the political system was capable of building it at all. Cost overruns, delays, and shifting priorities had eroded trust across the spectrum.

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